

Dalal Street Gets a New Big Bull

The Bharatiya Janata Party withdrew support to the V. P. Singh government in the last week of October after Bihar chief minister Laloo Prasad Yadav had L. K. Advani arrested during his *rath yatra* in that state. Although the market moved in a contrary direction, gaining a bit, the Sensex crashed the following January as a war in the Gulf appeared imminent after all diplomatic efforts to persuade Iraq to withdraw from Kuwait had failed.

However, one stock was steadily and mysteriously rising through all these market swings – that of Associated Cement Companies. The sudden fancy for it stemmed from Harshad's heavy purchases in the stock. I had sourced a sizeable chunk of it myself for him, and knew that he was buying whatever ACC shares he could lay his hands on. The stock had more than doubled over the last six months, and the bears had lost a packet short-selling it on the hunch that it was overvalued.

I was among those who had sold the shares short at Rs 1,000, thinking they were unlikely to rise further. I was wrong, and ended up squaring my position at Rs 1,100, losing more than half the jobbing commission I had made that month. I would try this again a few months later, and the results would be no different.

The Gulf war ended in a decisive victory for the allied forces led by the US, but that did not really perk up the stock market. The crisis had aggravated India's already precarious foreign exchange situation and there was a risk of the country defaulting on payment obligations. Inflation had climbed to a record 13.6 per cent, and there was a sense of despondency everywhere. The dismal state of finances was public knowledge, and it did